Grind & Crumb: Executive Report and £1.5m Investment Recommendation

Prepared for Anna Whitfield (CEO) and the Board | November 2026

1. Executive Summary

Grind & Crumb sold about £8.7m across 12 stores in the year to June 2026, but profit has not followed, because of five separate leaks that more stores would not fix.

Recommendation: commit **£755k now** to fix the existing business, ring-fence **£600k** for a stage-gated decision on CS3 Oxford Road, and hold **£145k** as contingency. We estimate a return of about **£400k a year**, a payback of roughly **2 years**.

2. Findings

- **Manchester walkouts:** 16,432 customers lost at lunchtime, with about 3 staff against 5 needed.
- **Delivery trap:** sub-£8 orders contribute only £0.62 to £0.79 after commission (up to 33%), packaging and packing labour.
- **App fault:** the update erased loyalty stamps; 1,221 customers churned.
- **Pricing:** the 40p oat milk charge appears in 22.5% of low reviews; blanket promotions discount customers who would pay full price.
- **Estate:** Leeds Trinity cut Briggate sales by 20.8%; Hull waste is 20.7% against 9.0%; Piccadilly occupancy is 40.2% against 25%.

Our answer to the CEO: fix stores and the app, restructure delivery rather than push it, and expand only once the gates below are met.

3. The £1.5m Allocation and Payback

Investment	£k	Benefit £k/yr	Payback
Delivery restructure	0	60	Immediate
Pricing and promotion reset	40	35	1.1 years
Performance Pulse dashboard	100	75	1.3 years

Investment	£k	Benefit £k/yr	Payback
Hull kitchen and waste	65	45	1.4 years
Manchester throughput	140	55	2.5 years
App hardening and win-back	135	55	2.5 years
Leeds Briggate repurposing	80	30	2.7 years
York and Harrogate refresh	105	25	4.2 years
Wage and retention reserve	90	20	Protective
Committed	**755**	**about 400**	**about 1.9 years**
Expansion reserve (gated)	600	n/a	On release
Contingency	145	n/a	n/a
Total	**1,500**		

Gates for CS3 Oxford Road: occupancy under 25% of forecast sales, low cannibalisation risk, fit-out within reserve, and two months of improved Manchester and app KPIs. CS4 York Station is high risk and should not proceed.

4. What We Would Stop Doing

- The 40p oat milk surcharge and blanket discounting.
- Sub-£8 delivery orders on current terms.
- Ranking stores by sales instead of margin and occupancy.
- Deferring maintenance while funding cosmetic refits.
- Opening near existing stores without a cannibalisation audit.

Main risks: wage pressure eroding Manchester gains, lapsed app users not returning, and a delivery minimum basket cutting volume first. The gates and monthly dashboard review catch each early.

Appendix

A. Key Assumptions

1. Findings come from the team's analysis of the dataset and the dashboard requirements document; benefits are planning estimates to be re-run on store data.
2. Dashboard benefit is 50% of the £150k annual recovery the requirements document cites.
3. Manchester benefit assumes partial recapture of walkouts at a £6 to £7 basket, plus lower recruitment costs.
4. App benefit assumes about 40% of churned customers return at an assumed annual spend.
5. Hull waste is assumed to fall from 20.7% to about 12%.
6. Delivery benefit assumes the £8 minimum and 15% to 20% markup shift orders to larger baskets without material volume loss.
7. Payback is simple (investment divided by annual benefit); the CS3 fit-out cost is unquantified, so £600k is a ceiling.

B. Store Evidence and Actions

Store	Issue	Action
Manchester S06, S07	Walkouts; S07 occupancy 40.2%	Throughput kit, packing hatch, retention reserve
Hull S10	Waste 20.7%; failing plant	Boiler, dishwasher, refrigeration
Leeds S03	Sales down 20.8% after S12 opened	Customer lounge
York S04, Harrogate S09	Ageing equipment	Espresso kit, counter, bakery display
Network	App fault, oat milk, sub-£8 orders	App fix, pricing reset, delivery rules

C. Capital Cost Detail

Package	Funded (£k)	Deferred (£k)
Manchester, 140	Machine 35; packing hatch 40; queue and screens 35; retention reserve 30	Grinders and milk dosing 25
App, 135	Rewrite 65; checkout fix 25; stamp recovery 20; vouchers 25	Monitoring 15 (dashboard covers)
Hull, 65	Boiler 28; dishwasher 22; refrigeration 15	None
Leeds, 80	Lounge 50; workbenches and furniture 30	None
York and Harrogate, 105	Espresso 50; counter and display 55	Booths and panels 65; lighting 30; filtration 20
Other, 230	Dashboard 100; pricing reset 40; wage reserve 90	None

D. The Tool

The Performance Pulse dashboard replaces monthly accounting with daily control: a store profit heatmap, delivery waterfall, peak-hour bottleneck index, waste tracker, app health monitor and site scorer. It is built in three phases over eight weeks, and flags occupancy above 25% and waste above 9.0%.

E. Changes From the Earlier Draft

The earlier draft allocated £680k and left £820k unassigned. This version adds the dashboard, pricing reset and wage reserve, narrows York and Harrogate from £220k to £105k, and allocates the full £1.5m.